

Multiple Choice

1. **Answer:** A

Options: A) increase government spending and taxes.; B) reduce government spending and increase taxes.; C) increase taxes without changing government spending.; D) maintain current levels of government spending and taxes.; E) reduce government spending and taxes.

Note: Correct option: A - increase government spending and taxes.

2. **Answer:** A

Options: A) The productivity of labor in country X is 75 percent higher than in country Z.; B) The productivity of labor in country X is 33 percent higher than in country Z.; C) The productivity of labor in country Z is 33 percent higher than in country X.; D) The productivity of labor in country Z is 50 percent higher than in country X.; E) The productivity of labor in country X is 50 percent higher than in country Z.

Note: Correct option: A - The productivity of labor in country X is 75 percent higher than in country Z.

3. **Answer:** A

Options: A) The ability to buy goods and services; B) A financial instrument that represents ownership in a company; C) A system where goods and services are exchanged for commodities; D) A government-issued bond or security; E) A method of payment

Note: Correct option: A - The ability to buy goods and services

4. **Answer:** C

Options: A) They held the view that government intervention would reduce economic freedom.; B) They were convinced that laissez-faire would ensure equitable wealth distribution.; C) They were disturbed by the wide spread poverty and the fluctuations of the business cycle.; D) They thought laissez-faire would lead to more efficient and ethical business practices.; E) They favored the principles of socialism.

Note: Correct option: C - They were disturbed by the wide spread poverty and the fluctuations of the business cycle.

5. **Answer:** A

Options: A) no externalities and should not be subsidized; B) decreasing marginal utility and should be taxed; C) increasing marginal utility and should be subsidized; D) increasing marginal utility and should not be subsidized; E) externalities and should be taxed

Note: Correct option: A - no externalities and should not be subsidized

True / False

6. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Yes, the United States could still import food'.
7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Always upward sloping because it follows the Law of Supply.'
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** True
Options: A) True; B) False
Note: Matches the MMLU-Pro answer key.

Long Form Response

11. **Answer:** If the null hypothesis is rejected, the alternative is accepted. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Long-term contractual obligations for suppliers. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key